

# Correlated Country Risk and International Capital Allocation

Siyoung Lee\*

Jun Hee Kwak†

Sogang University

Sogang University

September 20, 2026

## Abstract

This paper studies how geography shapes international capital allocation and cross-country interest-rate differences. We first document a persistent geographic gradient in real interest rates: geographically distant countries exhibit larger bilateral interest-rate differentials, and this relationship remains in the persistent component of interest-rate gaps. We develop a multi-country portfolio-allocation model in which geography operates through two distinct channels: bilateral investor–destination portfolio frictions and spatially correlated destination attractiveness. Holding capital stocks fixed, the aggregate geographic contribution to interest-rate dispersion is driven primarily by spatially correlated destination attractiveness, although this masks substantial heterogeneity across country groups: geographic forces reduce interest-rate dispersion relative to the United States among advanced economies but increase it among emerging market economies. In steady state, both geographic channels have substantial effects on the cross-country allocation of capital and output, and removing both considerably compresses their distributions. These results show that geography matters for international finance not only through bilateral barriers to investment but also through spatial dependence across investment destinations.

---

\*siyoungecon@gmail.com

†jhkwak@sogang.ac.kr

# 1 Introduction

Geographic distance continues to shape international investment despite substantial reductions in the technological cost of moving capital across borders. Investors disproportionately hold domestic and nearby foreign assets, and bilateral portfolio positions decline with distance. These patterns are commonly interpreted as evidence of information frictions, familiarity, or other barriers to international investment. Yet geography may matter for international capital allocation in another way. Countries located near one another may also share persistent characteristics that make them similar investment destinations. These two forms of geographic dependence are observationally related but economically distinct.

This paper studies how these two geographic forces shape international capital allocation and cross-country interest-rate differences. We begin by documenting that bilateral interest-rate differentials increase with geographic distance. The relationship remains when we isolate the persistent country-pair component of interest-rate differences after removing country-specific time-varying shocks. Thus, the geographic pattern in interest rates is not solely a consequence of transitory regional or macroeconomic fluctuations.

We distinguish two channels through which geography can generate this pattern. The first operates between an investor and a destination. Investors face bilateral portfolio frictions that increase with geographic distance, so that otherwise similar investment opportunities receive less capital when they are farther from the investor. The second operates across destinations themselves. Destination-specific characteristics that affect investment demand may be spatially correlated, so that geographically proximate countries exhibit similar attractiveness to investors from all origins.

The distinction is economically important. For example, a U.S. investor may allocate less capital to Korea than to Canada because Korea is farther from the United States. This is a bilateral investor–destination friction. At the same time, Korea may share persistent destination characteristics with nearby countries such as Japan. This second form of geographic dependence does not depend on the location of any particular investor: investors from different origins may view nearby destinations as similar because their underlying investment characteristics are spatially correlated.

To quantify these channels, we develop a multi-country production economy with endogenous international portfolio allocation. Households save through competitive financial intermediaries

that allocate wealth across domestic and foreign destinations. Portfolio demand depends on the destination return, a bilateral portfolio wedge, and a destination-specific attractiveness component common to investors from all origins. On the production side, capital has a decreasing marginal product, so international portfolio allocation and equilibrium interest rates are jointly determined.

We estimate the bilateral portfolio wedge using international portfolio holdings. The portfolio-allocation equation generates a gravity relationship in which holdings decline with bilateral distance after controlling for investor-by-time and destination-by-time factors. The estimated coefficient on log distance is approximately  $-0.80$ , implying that doubling bilateral distance is associated with about a 42 percent decline in predicted bilateral portfolio holdings. We also find substantial home bias and lower portfolio holdings across geopolitical blocs.

Because equilibrium returns are jointly determined with portfolio allocation, we estimate the sensitivity of portfolio demand to returns using an instrumental-variable strategy that builds on Koijen and Yogo (2026). The instrument compares predicted demand pressure with predicted asset supply. Predicted demand is constructed from the estimated bilateral gravity structure using demand originating from investors other than the focal investor, while predicted supply is based on observable destination characteristics. The resulting variation in relative demand pressure shifts equilibrium returns through market clearing and identifies the return sensitivity of portfolio demand.

We next study the destination-side channel. We recover destination-specific attractiveness and first show that geographically proximate countries tend to have more similar destination components. This relationship remains after removing observable differences in market size and is not eliminated by controlling for geopolitical distance. We then decompose the residual destination component into a persistent spatial component, a persistent non-spatial country component, and transitory variation. The spatial covariance is modeled as a decreasing function of bilateral distance and estimated jointly with the remaining variance components by restricted maximum likelihood. The estimates indicate substantial persistent spatial dependence in destination attractiveness, with the spatial component exceeding the non-spatial component of persistent cross-country heterogeneity.

We use the estimated model to quantify the implications of these two geographic channels. We first hold country-level capital stocks fixed and decompose population-weighted interest-rate dispersion relative to the United States. For the full sample, baseline dispersion is 1.44 percentage points, compared with 0.76 percentage points when both geographic channels are removed. Most of

the aggregate increase is associated with the spatial component of destination attractiveness, while the aggregate main effect of bilateral geographic frictions is close to zero. This aggregate result, however, masks substantial heterogeneity. Geographic forces reduce interest-rate dispersion relative to the United States among advanced economies but increase it among emerging market economies, with the latter effect driven primarily by the spatial destination component.

We then allow capital stocks and equilibrium returns to adjust endogenously. In the general-equilibrium counterfactuals, removing either bilateral distance frictions or the spatial destination component reduces cross-country dispersion in capital and output. Removing both channels produces substantially larger reductions: the variance of log capital falls by about 64 percent and the variance of log GDP per capita by about 25 percent relative to the baseline. The quantitative importance of geography is more clearly reflected in the allocation of capital and output than in the equilibrium dispersion of interest rates alone.

These results show that geography in international finance is not well described by a single bilateral distance friction. Geographic distance affects the allocation of capital between investors and destinations, but investment destinations themselves also exhibit persistent spatial dependence. The relative importance of these channels differs across outcomes and country groups. Spatial destination characteristics account for most of the aggregate geographic contribution to interest-rate dispersion, while both channels play quantitatively important roles in determining the international distribution of capital and output.

Our paper contributes to the literature in three ways. First, we connect the geographic structure of international portfolio holdings to persistent cross-country interest-rate differences in a general-equilibrium model. Second, we distinguish bilateral investor–destination frictions from spatial dependence across destinations and estimate the latter directly from the covariance structure of destination attractiveness. Third, we quantify how the two channels affect interest-rate dispersion and the allocation of capital and output, highlighting substantial heterogeneity between advanced and emerging market economies.

The remainder of the paper proceeds as follows. Section 2 describes the data. Section 3 documents the geographic gradient in bilateral interest-rate differentials and its persistent component. Section 4 develops the model. Section 5 estimates bilateral portfolio frictions and the sensitivity of portfolio demand to returns. Section 6 estimates and recovers the spatial component of destination

attractiveness. Section 7 presents the decomposition and general-equilibrium counterfactuals. Section 8 concludes.

**Related Literatures** Our paper relates to several strands of the literature. First, it contributes to the open-economy macroeconomics literature studying international capital allocation and global portfolio positions, including Lucas (1990), Obstfeld and Rogoff (1995), Gourinchas and Jeanne (2006), Pavlova and Rigobon (2007), Gourinchas and Rey (2007), Caselli and Feyrer (2007), Alfaro et al. (2008), Pellegrino et al. (2025), and Kleinman et al. (2026). Our analysis is also related to models of segmented international financial markets, including Gabaix and Maggiori (2015), Maggiori (2017), and Itskhoki and Mukhin (2021, 2025), which emphasize frictions that prevent capital from being allocated frictionlessly across countries.

Second, our analysis relates to the literature documenting gravity-type patterns in international capital allocation. Portes et al. (2001) and Portes and Rey (2005) show that international financial transactions decline with geographic distance, with related evidence provided by Aviat and Coeurdacier (2007) and Lane and Milesi-Ferretti (2008). Coeurdacier and Martin (2009) and Okawa and van Wincoop (2012) incorporate gravity-type portfolio relationships into models of international asset allocation. More recently, Koijen and Yogo (2026) exploit gravity-type variation in asset demand to construct instruments for estimating the sensitivity of international portfolio demand to returns. Our paper builds on this literature by treating geographic distance not only as a bilateral portfolio friction but also as a source of spatial structure in destination-side investment attractiveness.

Third, the paper relates to work studying spatial dependence in macroeconomics and finance, including LeSage and Llano (2013), Dell’Erba et al. (2013), Lustig and Richmond (2020), Servén and Abate (2020), Krisztin and Piribauer (2021), and Shambaugh and Zhou (2024). This literature highlights that macroeconomic and financial outcomes can exhibit systematic dependence across geographically connected economies. Our contribution is to bring this spatial perspective into a model of international portfolio allocation by allowing destination-specific attractiveness to contain a spatially correlated persistent component.

In terms of modeling, our framework is related to dynamic spatial equilibrium models, including Allen and Arkolakis (2025) and Eckert and Kleineberg (2024), as well as the asset demand system developed by Koijen and Yogo (2019, 2026). More specifically, our model is closely related to

Kleinman et al. (2026) and Pellegrino et al. (2025), who embed international asset demand into open-economy general equilibrium models to study the allocation of capital across countries. Pellegrino et al. (2025), in particular, study how bilateral geographic frictions, taxation, and political risk shape global capital allocation. Our paper instead studies how geography shapes international capital allocation through two distinct channels: bilateral investor–destination portfolio frictions and spatially correlated destination-specific heterogeneity. We then quantify the contribution of each channel to cross-country interest-rate dispersion.

## 2 Data

**Interest Rates and Inflation** Interest-rate data are obtained from the Global Macro Database. To measure returns on capital while minimizing the influence of short-run monetary policy movements, we use long-term interest rates. For countries with incomplete coverage in the Global Macro Database, including China, Indonesia, Peru, and the Philippines, we supplement the series with 10-year government bond yields from Covered Interest Rate Parity Deviations Between Government Bonds by Wenxin Du. Real interest rates are constructed using five-year-ahead inflation expectations from the IMF World Economic Outlook Historical Forecasts.

**Bilateral Capital Holdings** We construct bilateral portfolio holdings as the sum of short- and long-term debt securities and equity securities. Bilateral holdings are obtained from the IMF Coordinated Portfolio Investment Survey (CPIS). To construct total amounts outstanding, we combine information from the OECD, BIS Debt Securities Statistics, and World Bank market capitalization data. For the United States, we supplement the CPIS data with Treasury International Capital (TIC) data. To address distortions arising from financial centers and tax havens, we reallocate portfolio positions from a residency basis to an ultimate nationality basis using the Global Capital Allocation Project of Coppola et al. (2021). The implementation follows the data construction in the replication package of Koijen and Yogo (2026).

**Country Characteristics** We compile country-level and bilateral characteristics from several sources. Country risk, measured by credit default swap spreads, is obtained from Refinitiv Datastream. Capital-account openness is measured using the Chinn–Ito index, and political stability is obtained

from the World Bank Worldwide Governance Indicators. To capture geopolitical alignment, we use United Nations General Assembly ideal-point estimates from Bailey, Strezhnev, and Voeten and geopolitical bloc classifications from the replication package of Gopinath et al. (2025). Bilateral geographic distance and other country-pair characteristics are obtained from CEPIL.

### 3 Motivating Empirical Evidence

This section investigates the spatial relationship in interest rates across countries. If frictions to international capital allocation have a geographic dimension, or if factors relevant for interest rates are spatially correlated, interest rates should exhibit a systematic geographic pattern across countries. In particular, countries that are geographically closer may display more similar interest rates, whereas interest-rate differentials may increase with bilateral distance. To examine this relationship, I consider two empirical specifications. The first exploits time variation in bilateral interest-rate differentials, while the second isolates their time-invariant, persistent component.

#### 3.1 Geographic Gradient in Interest-Rate Differentials

We consider following regression.

$$|r_{i,t} - r_{j,t}| = \beta \ln(\text{dist}_{i,j}) + X_{i,j}\Gamma + \alpha_i + \alpha_j + \varepsilon_{ijt}$$

For each country pair, the interest-rate differential is defined as absolute value of rate differences. Interest rates are measured in basis points, so that a one-unit difference in the dependent variable corresponds to a one-percentage-point interest-rate gap. The vector  $X_{i,j}$  contains bilateral controls, including indicators for whether the two countries share a border or a common language, have a colonial relationship, or were historically part of the same country. The specification also includes fixed effects for the origin- and destination countries,  $\alpha_i$  and  $\alpha_j$ , respectively, as well as year fixed effects  $\lambda_t$ . The coefficient of interest,  $\beta$ , measures how the interest-rate gap varies with geographic distance. A positive value of  $\beta$  indicates that the interest-rate differential tends to widen as the geographic distance between the two countries increases. The high- and low-country fixed effects absorb systematic differences associated with each country depending on its position in the interest-rate ranking. Intuitively, the country fixed effects allow us to compare how the interest-rate gap

varies across partners of a given country. For example, conditional on the fixed effect associated with the United States, the regression compares whether the U.S. interest-rate gap tends to be larger with geographically more distant countries.

Panel A in Table 1 shows that geographically more distant country pairs tend to exhibit larger interest-rate differentials. An estimate of  $\beta = 0.428$  implies that doubling bilateral distance is associated with an approximately 0.4-basis-point increase in the interest-rate gap. The coefficient remains similar in magnitude after controlling for bilateral relationships, including shared borders, common language, colonial ties, and historical state relationships, suggesting that the geographic gradient is not driven by these bilateral characteristics alone.

### 3.2 The Persistent Component of Interest-Rate Differentials

The baseline specification establishes that interest-rate differentials are larger between geographically distant countries. However, this relationship may partly reflect transitory country-specific shocks. For example, geographically proximate countries may experience similar monetary or macroeconomic shocks in a given year, generating temporarily similar interest rates. I therefore examine whether geographic distance is also related to the persistent component of bilateral interest-rate differentials.

I first decompose the bilateral interest-rate differential into origin-country-by-year and destination-country-by-year components and a time-invariant country-pair component,  $\delta_{i,j}$ . The country-by-year fixed effects absorb time-varying shocks specific to either member of the pair. The estimated pair component therefore captures the portion of the bilateral interest-rate differential that persists over time after removing these country-specific fluctuations.

$$|r_{i,t} - r_{j,t}| = \alpha_{i,t} + \alpha_{j,t} + \underbrace{\delta_{i,j}}_{\text{pair FE}} + u_{i,j,t}$$

In the second stage, I regress the estimated pair component on bilateral geographic distance and the same set of bilateral controls used in the baseline specification.

$$\hat{\delta}_{i,j} = \beta^P \ln(\text{dist}_{i,j}) + X_{i,j}\Gamma + \eta_{i,j}$$

Panel B in Table 1 reports the regression estimates, while Figure 1 (b) presents the corresponding binscatter of the persistent interest-rate differential against log bilateral distance. Both show a strong

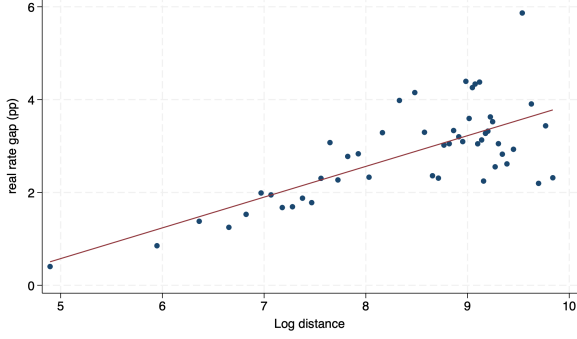
positive geographic gradient. The baseline estimate of  $\beta^P$  implies that bilateral distance is associated with a larger persistent interest-rate gap. The coefficient remains similar across specifications that control for bilateral relationships.

Table 1: Geographic Distance and Interest-Rate Differentials

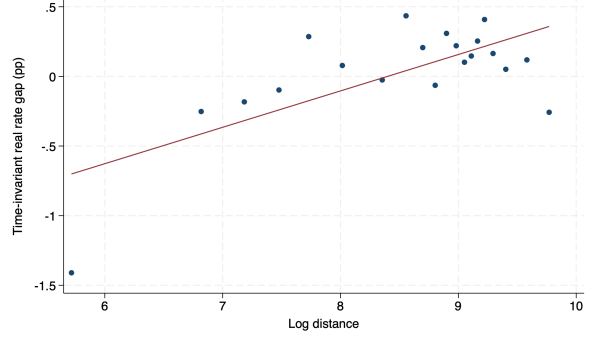
| <b>Panel A. Pooled Panel</b>              |                     |                     |                     |                     |
|-------------------------------------------|---------------------|---------------------|---------------------|---------------------|
|                                           | (1)                 | (2)                 | (3)                 | (4)                 |
| Log distance                              | 0.428***<br>(0.069) | 0.458***<br>(0.080) | 0.440***<br>(0.071) | 0.470***<br>(0.082) |
| Shares border                             |                     | 0.364**<br>(0.167)  |                     | 0.220<br>(0.157)    |
| Common language                           |                     |                     | 0.245**<br>(0.114)  | 0.182<br>(0.119)    |
| Colonial relationship                     |                     |                     |                     | 0.151<br>(0.115)    |
| Same country (past/now)                   |                     |                     |                     | 0.368*<br>(0.190)   |
| Origin FE                                 | Yes                 | Yes                 | Yes                 | Yes                 |
| Destination FE                            | Yes                 | Yes                 | Yes                 | Yes                 |
| Time FE                                   | Yes                 | Yes                 | Yes                 | Yes                 |
| Observations                              | 57100               | 57100               | 57100               | 57100               |
| Adj. R-squared                            | 0.487               | 0.487               | 0.487               | 0.487               |
| <b>Panel B. Persistent Pair Component</b> |                     |                     |                     |                     |
|                                           | (1)                 | (2)                 | (3)                 | (4)                 |
| Log distance                              | 0.261***<br>(0.023) | 0.275***<br>(0.025) | 0.261***<br>(0.023) | 0.283***<br>(0.025) |
| Shares border                             |                     | 0.226<br>(0.146)    |                     | 0.101<br>(0.155)    |
| Common language                           |                     |                     | -0.004<br>(0.079)   | -0.082<br>(0.082)   |
| Colonial relationship                     |                     |                     |                     | 0.447***<br>(0.158) |
| Same country (past/now)                   |                     |                     |                     | 0.354<br>(0.244)    |
| Observations                              | 4323                | 4323                | 4323                | 4323                |
| Adj. R-squared                            | 0.028               | 0.029               | 0.028               | 0.030               |

## 4 Model

In this section, we develop a dynamic spatial production economy with multiple countries. There are  $N$  countries, indexed by  $n \in \{1, \dots, N\}$ . Each country is populated by a representative household and competitive firms. Households choose consumption and saving, while their savings are allocated



(a) Pooled panel



(b) Persistent component

Figure 1: Interest-Rate Differentials and Geographic Distance

across domestic and foreign investment opportunities through financial intermediaries. International portfolio allocation is subject to bilateral frictions, so that otherwise identical investment opportunities may be valued differently across investor–destination pairs. This setup is consistent with the recent literature on segmented international capital markets, following Gabaix and Maggiori (2015) and Itskhoki and Mukhin (2021, 2025), and is closely related to the international portfolio-allocation frameworks in Pellegrino et al. (2025) and Kleinman et.al. (2026).

#### 4.1 Households

The representative household in country  $n$  is endowed with a fixed amount of labor,  $\ell_n$ . The household chooses consumption and saving to maximize lifetime utility,

$$\max_{\{c_{nt}, a_{n,t+1}\}} \sum_{t=0}^{\infty} \beta_n^t u(c_{nt}) \quad (1)$$

$$\text{subject to } c_{n,t} + a_{n,t+1} = \mathcal{R}_{n,t} a_{n,t} + w_{n,t} \ell_n$$

where  $\beta_n$  is the country-specific discount factor,<sup>1</sup> and  $\mathcal{R}_{n,t}$  denotes the return on the household's savings portfolio. The optimal consumption-saving decision satisfies  $u'(c_{n,t}) = \beta_n \mathcal{R}_{n,t+1} u'(c_{n,t+1})$ . In steady state, consumption and portfolio returns are constant over time, so the Euler equation reduces to  $1 = \beta_n \mathcal{R}_n$ .

---

<sup>1</sup>Cross-country differences in discount factors may reflect differences in mortality risk, as in Pellegrino et al. (2025), or differences in time preferences, as documented by Falk et al. (2018).

## 4.2 International Capital Allocation

An investor in country  $n$  considering investment in country  $i$  faces a bilateral portfolio wedge  $\Phi_{ni}$ . The wedge captures frictions that reduce the relative attractiveness of investing in a particular foreign destination. We allow the wedge to depend on both geographic distance and geopolitical alignment. First, we assume that the wedge increases with bilateral geographic distance, reflecting informational frictions, limited familiarity, or other barriers associated with investing in more distant markets. Second, motivated by the recent literature on geoeconomic fragmentation, which documents that cross-border FDI and portfolio holdings tend to be lower between geopolitically misaligned countries (e.g., Gopinath et al., 2025), we allow the wedge to increase when the investor and destination belong to different geopolitical blocs. Thus,  $\Phi_{ni}$  captures both geographic and geopolitical barriers to international capital allocation.

The term  $\omega_{it}$  captures destination-specific attractiveness that is common to investors from all origin countries. Unlike the bilateral portfolio wedge  $\Phi_{ni}$ , which varies across investor–destination pairs,  $\omega_{it}$  depends only on the destination country  $i$  and time  $t$ . It therefore captures characteristics of country  $i$  that affect its attractiveness as an investment destination uniformly across investors, beyond the observed interest rate  $r_{it}$ . A higher  $\omega_{it}$  increases the portfolio share allocated to country  $i$  by investors from all countries. This distinction is important for the analysis below. While  $\Phi_{ni}$  captures bilateral segmentation between investor  $n$  and destination  $i$ ,  $\omega_{it}$  captures destination-side heterogeneity that is common across investors.

For each unit of savings, the intermediary draws an idiosyncratic taste shock  $\varepsilon_{ni}$  for each destination  $i$ , independently across destinations, from a Gumbel distribution.

$$F(x) = \exp(-\exp(-x + \bar{\gamma}))$$

where  $\bar{\gamma}$  is Euler–Mascheroni constant. The scale of the idiosyncratic shock is governed by  $\sigma_N$ . The intermediary in country  $n$  invests in country  $i$  if the friction- and preference-adjusted return from investing in  $i$  is the highest among all available destinations.

$$\varepsilon(n, i, \nu)\sigma_N - \Phi_{ni} + \omega_{it} + r_{i,t} = \max_h \{\varepsilon(n, i, \nu)\sigma_N - \Phi_{nh} + \omega_{ht} + r_{h,t}\} \quad (2)$$

The share of country  $n$ 's savings allocated to country  $i$  through financial intermediaries is given

by

$$b_{nit} = \frac{a_{nit}}{a_{nt}} = \frac{\exp(-\Phi_{ni} + \omega_i + r_{i,t})^{1/\sigma_N}}{\sum_h \exp(-\Phi_{nh} + \omega_h + r_{h,t})^{1/\sigma_N}} \quad (3)$$

Here,  $a_{nit}$  denotes the amount of country  $n$ 's savings allocated to country  $i$ , while  $a_{nt}$  denotes total savings in country  $n$ . A larger portfolio wedge  $\Phi_{ni}$  reduces the share allocated to destination  $i$ , whereas a higher destination-specific attractiveness  $\omega_{it}$  or a higher interest rate  $r_{it}$  increases its portfolio share. The parameter  $\sigma_N$  governs the dispersion of idiosyncratic investment preferences and, therefore, the sensitivity of portfolio allocation to differences in returns and destination characteristics.

The gross return on the household's savings portfolio is then the portfolio-share-weighted average of destination returns:

$$\mathcal{R}_{n,t} = 1 + \sum_i b_{nit} r_{i,t} \quad (4)$$

### 4.3 Firm

Each country  $n$  is populated by a representative firm operating a Cobb–Douglas production technology. The firm takes the wage  $w_{n,t}$  and the interest rate  $r_{n,t}$  as given and chooses its capital stock to maximize the present value of profits. Output is produced using capital  $k_{n,t}$  and labor  $\ell_{n,t}$ , with country-specific productivity  $z_{n,t}$ . Capital depreciates at rate  $\delta$ , so that investment required to carry capital into the next period is  $k_{n,t+1} - (1 - \delta)k_{n,t}$ .

The optimality condition for capital implies that the equilibrium return to capital is equal to its marginal product net of depreciation,

$$r_{n,t+1} = \alpha z_{n,t} k_{n,t}^{\alpha-1} \ell_{n,t}^{1-\alpha}$$

Thus, the interest rate in each country is decreasing in the amount of capital allocated to that country. An increase in capital inflows raises  $k_{n,t}$ , lowers the marginal product of capital, and thereby reduces the equilibrium interest rate. This relationship provides the link between international portfolio allocation and cross-country interest-rate differences in the model.

## 4.4 Market Equilibrium

A competitive equilibrium consists of allocations  $\{a_{nt}, b_{nit}, k_{nt}\}_{n,i,t}$  and prices  $\{\mathcal{R}_{nt}, r_{nt}\}_{n,t}$  such that households optimize given prices and, for all  $n$  and  $t$ ,

$$r_{nt} = \alpha z_n k_{nt}^{\alpha-1}, \quad (5)$$

$$k_{nt} = \sum_i b_{int} a_{it}, \quad (6)$$

$$\mathcal{R}_{nt} = 1 + \sum_i b_{nit} r_{it}. \quad (7)$$

## 5 Parameterization

### 5.1 Portfolio Friction Estimation

This section estimates bilateral portfolio frictions,  $\phi_{ni} = \Phi_{ni}/\sigma_N$ , using PPML. From the portfolio allocation equation (3), investment shares can be decomposed into three components. The first is the bilateral portfolio friction,  $\phi_{ni}$ , which varies across investor–destination pairs and captures barriers specific to international capital allocation. We parameterize this component as a function of bilateral geographic distance, home bias, and geopolitical alignment:

$$\phi_{ni} = \beta^{dist} \ln(dist_{ni}) + \beta^{foreign} \mathbb{1}[n \neq i] + \beta^{crossblock} Crossblock$$

The coefficient  $\beta^{dist}$  captures the geographic component of bilateral portfolio frictions. The coefficient  $\beta^{foreign}$  captures home bias, or the additional friction associated with investing abroad relative to investing domestically. Finally,  $\beta^{crossblock}$  captures the additional friction associated with investing in a destination that belongs to a different geopolitical bloc. Countries are classified into three groups—the U.S. bloc, the China bloc, and non-aligned countries—based on their ideal points in the United Nations General Assembly.

Second, the destination-specific component,  $(\omega_{it} + r_{it})/\sigma_N$ , is common across investors and is absorbed by destination-country  $\times$  time fixed effects. Third, the denominator of the allocation equation captures investor-specific aggregate demand for foreign assets and is absorbed by investor-country  $\times$  time fixed effects.

$$b_{nit} = \frac{\overbrace{\exp(-\phi_{ni})}^{\text{Capital Moving Friction}} \overbrace{\exp(\omega_{it}/\sigma_N + r_{it}/\sigma_N)}^{\text{Time}\times\text{Destin FE}}}{\underbrace{\sum_h \exp(-\phi_{nh} + \omega_{ht}/\sigma_N + r_{ht}/\sigma_N)}_{\text{Time}\times\text{Origin FE}}} \quad (8)$$

**Estimation Results** Table 2 reports the PPML estimates of bilateral portfolio frictions. The coefficient on log distance is negative and statistically significant, indicating that geographic distance reduces bilateral portfolio allocation. The estimate of  $\beta_d = -0.797$  implies that a 1 percent increase in bilateral distance is associated with a 0.854 percent decline in bilateral portfolio holdings. In terms of economic magnitude, doubling bilateral distance is associated with an approximately 42 percent reduction in predicted bilateral portfolio holdings.

The large negative coefficient on the foreign indicator captures substantial home bias in international portfolio allocation. The negative coefficient on the cross-bloc indicator shows that, conditional on geographic distance and home bias, bilateral portfolio holdings are lower when the investor and destination countries belong to different geopolitical blocs.<sup>2</sup> These results imply that geographic distance represents an important bilateral portfolio friction in international capital allocation.

---

<sup>2</sup>The magnitude is broadly comparable to recent estimates of financial fragmentation using continuous measures of geopolitical distance. For example, recent gravity estimates find that a one-standard-deviation increase in geopolitical distance is associated with roughly a 40 percent decline in equity allocations and a 60 percent decline in bond allocations by investment funds. These estimates are not directly comparable to ours because our specification uses a discrete cross-bloc indicator.

Table 2: Bilateral Portfolio Frictions and Geographic Distance

Table 3: PPML Estimation Results

|                                                                    | (1)<br>share          |
|--------------------------------------------------------------------|-----------------------|
| $\ln(\text{dist}_{i,j})$                                           | -0.797***<br>(0.0544) |
| Foreign                                                            | -4.159***<br>(0.130)  |
| Cross Block                                                        | -0.796***<br>(0.155)  |
| Observations                                                       | 100377                |
| Standard errors in parentheses                                     |                       |
| Standard errors clustered by country-pair (country x counterpart). |                       |
| * $p < 0.10$ , ** $p < 0.05$ , *** $p < 0.01$                      |                       |

## 5.2 $\sigma_N$ Estimation

The return term is endogenous because equilibrium interest rates are jointly determined with international portfolio allocation. To estimate  $\sigma_N$ , we use an IV strategy that builds on Kojen and Yogo (2026) and adapts their residual-supply approach to our international capital-allocation setting. The instrument exploits variation in predicted asset demand relative to predicted asset supply. This residual demand pressure shifts equilibrium returns through asset-market clearing but, under the exclusion restriction, does not directly affect investor  $n$ 's bilateral portfolio demand. It therefore provides exogenous variation in returns that identifies the sensitivity of portfolio allocation to equilibrium returns.

Equation (3) can be modified to be expressed as

$$\log \frac{b_{ni}}{b_{nn}} = \frac{1}{\sigma_N} (r_{it} - r_{nt} - \Phi_{ni} + \omega_{it} - \omega_{nt})$$

Let  $X_{ni}$  denote the observed bilateral characteristics between investor country  $n$  and destination country  $i$ , including bilateral geographic distance and the cross-bloc indicator. The identification

assumptions for the IV strategy are:

$$\text{Exogeneity:} \quad \text{Cov}(\varepsilon_{nit}, \text{dist}_{ji} \mid X_{ni}, \iota_i, \eta_n) = 0,$$

$$\text{Relevance:} \quad \text{Cov}(r_{it}, \text{dist}_{ji} \mid X_{ni}, \iota_i, \eta_n) \neq 0, \quad j \neq n.$$

The exogeneity condition requires that, conditional on the bilateral characteristics between investor country  $n$  and destination country  $i$ , the geographic distance between other investor countries  $j$  and destination  $i$  is uncorrelated with the idiosyncratic portfolio-demand shock of investor  $n$ . Intuitively, the location of other investor countries should not directly affect country  $n$ 's relative preference for destination  $i$ .

The relevance condition requires that the geographic distribution of other investor countries affects the equilibrium return in destination  $i$ . Because bilateral portfolio demand declines with geographic distance, destinations that are relatively close to countries with greater investment capacity face stronger predicted demand. Through capital-market clearing, this variation in demand pressure affects the equilibrium return  $r_{it}$ . We aggregate this cross-country distance variation into the residual-demand instrument constructed below.

**Demand Component** From equation (3), we construct the time-invariant component of portfolio demand using only the estimated bilateral gravity frictions. Specifically, the predicted allocation share from investor country  $m$  to destination country  $i$  is given by

$$\hat{b}_{mi}^{\text{gravity}} = \frac{\exp(-\phi_{mi}^{\text{gravity}})}{\sum_h \exp(-\phi_{mh}^{\text{gravity}})},$$

where

$$\phi_{ni}^{\text{gravity}} = \hat{\beta}^{\text{dist}} \ln(\text{dist}_{ni}) + \hat{\beta}^{\text{foreign}} \mathbb{1}[n \neq i].$$

This predicted share captures the time-invariant geographic structure of portfolio demand implied by bilateral distance and home bias, abstracting from time-varying destination characteristics and equilibrium returns. We then aggregate predicted demand from all investor countries other than  $n$ :

$$\sum_{m \neq n} A_{mt} \hat{b}_{mi}^{\text{gravity}}.$$

**Supply Component** To construct the supply component, we estimate the following panel regression:

$$\log S_{it} = \Psi' z_{it} + \lambda_t + \varepsilon_{it}^S,$$

where  $z_{it} = [\log GDP_{it}, \log pop_{it}]'$ , and  $\lambda_t$  denotes year fixed effects. We then construct predicted asset supply as

$$\log \hat{S}_{it} = \hat{\Psi}' z_{it} + \hat{\lambda}_t.$$

The predicted value captures the component of asset supply explained by observable country characteristics and common time variation.

**Residual Demand Pressure** Using the predicted asset allocation from the gravity model, we first construct a leave-one-out measure of demand pressure for each destination  $i$ :

$$Z_{i,-n,t} = \log \left( \sum_{m \neq n} A_{mt} \hat{b}_{mit}^{gravity} \right) - \log \hat{S}_{it}.$$

This measure is the negative of the conventional residual-supply measure. A larger value of  $Z_{i,-n,t}$  therefore indicates stronger predicted demand relative to asset supply in destination country  $i$ . The leave-one-out construction excludes predicted demand originating from investor country  $n$ , so that the bilateral portfolio choice of investor  $n$  does not mechanically enter the demand component. Because the endogenous regressor is the return differential between destination  $i$  and country  $n$ , we use the corresponding difference in residual demand pressure as the instrument:

$$Z_{nit}^{rel} = Z_{i,-n,t} - Z_{n,-n,t}.$$

Thus,  $Z_{nit}^{rel}$  measures the relative predicted demand pressure on destination  $i$  compared with country  $n$ , generated by investors other than  $n$ . Variation in this relative demand pressure shifts the equilibrium return differential  $r_{it} - r_{nt}$  through asset-market clearing.

**2SLS** The return elasticity of portfolio demand is estimated using two-stage least squares. Since the portfolio-demand equation is expressed in terms of returns relative to the investor's domestic asset, we instrument the return differential  $r_{it} - r_{nt}$  with the corresponding difference in leave-one-out

residual demand pressure. The first stage is

$$r_{it} - r_{nt} = \pi Z_{nit}^{rel} + \mathbf{X}_{ni}'\beta + \nu_{nit},$$

where

$$Z_{nit}^{rel} = Z_{i,-n,t} - Z_{n,-n,t}.$$

The estimated return coefficient implies  $\hat{\sigma}_N = \frac{1}{\hat{\lambda}_r} \approx 0.075$

Table 4: IV Estimation Results

|                                | (1)               | (2)                |
|--------------------------------|-------------------|--------------------|
|                                | First stage       | 2SLS               |
| Relative $Z$                   | 0.01***<br>(0.00) |                    |
| $\Delta R$                     |                   | 13.58***<br>(3.39) |
| First-stage $F$ (excl. instr.) |                   | 688.33             |
| Kleibergen-Paap rk Wald $F$    |                   | 688.33             |
| Observations                   | 28772             | 28772              |
| Adjusted $R^2$                 |                   | 0.092              |

Fixed effects: country and counterpart. Robust standard errors in parentheses.

### 5.3 Steady-State Calibration

The remaining country-specific parameters are calibrated to match the baseline steady state. We choose  $\beta_n$  to satisfy the steady-state Euler equation and calibrate  $z_n$  to match the observed interest rate. These parameters are held fixed in the counterfactual exercises.

## 6 Spatial Structure in $\omega$

### 6.1 Geographic Patterns in Destination Attractiveness

In the model,  $\omega_{it}$  captures destination-specific attractiveness that is common to investors from all origin countries. If destination characteristics are spatially correlated, geographically proximate countries should exhibit more similar values of  $\omega_{it}$ , generating geographic clusters in asset attractiveness.

This provides a second channel through which geography affects international capital allocation, distinct from the bilateral portfolio friction  $\phi_{ni}$ . The distinction is that  $\phi_{ni}$  operates between an investor and a destination, whereas the spatial component of  $\omega_{it}$  operates across destination countries themselves. For example, a U.S. investor may allocate less capital to Korea than to Canada because Korea is geographically more distant from the United States. This bilateral channel, however, does not capture the fact that Korea may share destination characteristics with nearby countries such as Japan. If  $\omega_{it}$  is spatially correlated, investors from all origins may perceive Korean assets as more similar to Japanese assets than to assets in geographically distant countries such as Argentina. The spatial structure of  $\omega_{it}$  captures this destination-side geographic dependence. To examine whether destination attractiveness exhibits a geographic pattern, I first relate bilateral differences in  $\omega_{it}$  to geographic distance:

$$|\omega_{it} - \omega_{jt}| = \beta^\omega \ln(\text{dist}_{ij}) + X'_{ij}\Gamma + \alpha_i + \alpha_j + \lambda_t + \varepsilon_{ijt}.$$

A positive coefficient on distance indicates that geographically distant countries tend to have more dissimilar destination components. Table 5a shows a positive and statistically significant relationship between bilateral distance and differences in  $\omega_{it}$ . The relationship is robust to controls for contiguity, common language, colonial ties, and historical state relationships. Part of this relationship may reflect observable destination characteristics that themselves vary systematically across space. In particular, the recovered destination component may contain variation associated with market size. I therefore remove observable destination characteristics and year effects from  $\omega_{it}$ ,

$$u_{it} = \omega_{it} - X'_{it}\hat{\Gamma} - \hat{\lambda}_t, \tag{9}$$

where the baseline specification includes log population in  $X_{it}$ . I then estimate the analogous bilateral regression

$$|u_{it} - u_{jt}| = \beta^u \ln(\text{dist}_{ij}) + Z'_{ij}\Pi + \alpha_i + \alpha_j + \lambda_t + \nu_{ijt}.$$

The positive relationship with geographic distance remains after removing market size component. Moreover, geopolitical distance is also positively associated with differences in the residual destination component. These patterns motivates the spatial decomposition developed below.

| (a) Distance Regression on $\omega$ differences |                       |                       |                       |                       |
|-------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                                                 | (1)                   | (2)                   | (3)                   | (4)                   |
| ln(distance)                                    | 0.0232***<br>(0.0037) | 0.0252***<br>(0.0041) | 0.0245***<br>(0.0038) | 0.0262***<br>(0.0042) |
| Contiguity                                      |                       | 0.0237***<br>(0.0090) |                       | 0.0138<br>(0.0090)    |
| Common language                                 |                       |                       | 0.0263***<br>(0.0072) | 0.0238***<br>(0.0072) |
| Colonial link                                   |                       |                       |                       | 0.0010<br>(0.0105)    |
| Same country                                    |                       |                       |                       | 0.0193*<br>(0.0102)   |
| Country 1 FE                                    | Yes                   | Yes                   | Yes                   | Yes                   |
| Country 2 FE                                    | Yes                   | Yes                   | Yes                   | Yes                   |
| Year FE                                         | YES                   | YES                   | YES                   | YES                   |
| Observations                                    | 57,100                | 57,100                | 57,100                | 57,100                |
| Country pairs                                   | 4,324                 | 4,324                 | 4,324                 | 4,324                 |
| Adj. R-squared                                  | 0.580                 | 0.581                 | 0.581                 | 0.582                 |

| (b) Distance Regression on $u$ differences |                       |                       |                       |
|--------------------------------------------|-----------------------|-----------------------|-----------------------|
|                                            | (1)                   | (2)                   | (3)                   |
| ln(distance)                               | 0.0263***<br>(0.0015) |                       | 0.0099***<br>(0.0016) |
| Ideal-point distance                       |                       | 0.0620***<br>(0.0028) | 0.0551***<br>(0.0031) |
| Country 1 FE                               | Yes                   | Yes                   | Yes                   |
| Country 2 FE                               | Yes                   | Yes                   | Yes                   |
| Year FE                                    | Yes                   | Yes                   | Yes                   |
| Observations                               | 57,100                | 57,100                | 57,100                |
| Country pairs                              | 4,324                 | 4,324                 | 4,324                 |
| Adj. R-squared                             | 0.042                 | 0.099                 | 0.103                 |

Table 5: Spatial relationships of destination attractiveness

## 6.2 Spatial Decomposition

To characterize the spatial structure of destination attractiveness, we decompose the residual component  $u_{it}$  into a persistent spatial component,  $s_i$ , a persistent non-spatial component,  $a_i$ , and a transitory component,  $\varepsilon_{it}$ :

$$u_{it} = \underbrace{s_i}_{\text{Spatial Component}} + \underbrace{a_i}_{\text{Non-spatial Component}} + \varepsilon_{it}.$$

As in a random-effects framework, we assume that the components are Gaussian

$$s \sim N(0, \Sigma_s), \quad a \sim N(0, \sigma_a^2 I), \quad \varepsilon_{it} \sim N(0, \sigma_\varepsilon^2),$$

To capture spatial dependence, we parameterize the spatial covariance matrix using a Gaussian covariance function <sup>3</sup>

$$[\Sigma_s]_{ij} = \sigma_s^2 \exp \left( - \left( \frac{d_{ij}}{\rho} \right)^2 \right)$$

, where  $\sigma_s$  is scale parameter of spatial components while  $\rho$  is decay parameter which measures how fast spatial dependence decay over distance.

## 6.3 Identification and Estimation of Parameters

Let  $u_{it} = s_i + a_i + \varepsilon_{it}$  denote the latent deviation from the conditional mean. We assume that the spatial component, the non-spatial persistent component, and the transitory component are mutually orthogonal. We further assume that  $a_i$  is uncorrelated across countries and that  $\varepsilon_{it}$  is uncorrelated across countries and over time. Averaging over time gives

$$\bar{u}_i = \frac{1}{T_i} \sum_t u_{it} = s_i + a_i + \bar{\varepsilon}_i.$$

The identifying information comes from covariance across countries and over time. For two different countries  $i \neq j$ ,

$$\text{Cov}(\bar{u}_i, \bar{u}_j) = \sigma_s^2 \exp \left[ - \left( \frac{d_{ij}}{\rho} \right)^2 \right],$$

where  $d_{ij}$  denotes chordal distance.<sup>4</sup> Under the orthogonality assumptions, cross-country covariance reflects only the spatial component. Its magnitude and variation with bilateral distance provide

<sup>3</sup>The Gaussian covariance function, also known as the squared-exponential covariance function, can be obtained as the limiting case of the Matérn covariance family as the smoothness parameter tends to infinity.

<sup>4</sup>Chordal distance is the Euclidean distance between two points on the Earth's surface embedded in three-dimensional space. Using this distance ensures that the Gaussian covariance kernel is positive semidefinite.

identifying information about  $\sigma_s^2$  and  $\rho$ . Separate identification requires sufficiently informative variation in distances; identification can be weak when the spatial kernel is close to an identity matrix or a constant matrix.

For the same country observed in two different periods,

$$\text{Cov}(u_{it}, u_{i\tau}) = \sigma_s^2 + \sigma_a^2, \quad t \neq \tau.$$

Given the spatial variance, within-country persistence identifies  $\sigma_a^2$ . Finally,

$$\text{Var}(u_{it}) = \sigma_s^2 + \sigma_a^2 + \sigma_\varepsilon^2.$$

The remaining variance after accounting for the two persistent components identifies  $\sigma_\varepsilon^2$ .

We jointly estimate  $(\sigma_s^2, \rho, \sigma_a^2, \sigma_\varepsilon^2)$  by restricted maximum likelihood (REML), controlling for log population and year fixed effects. The estimation uses 1,028 country-year observations from 67 countries over 2003–2020. Table 6 reports the estimates. The estimated spatial variance is  $\hat{\sigma}_s^2 = 0.01687$ , while the non-spatial persistent and transitory variances are  $\hat{\sigma}_a^2 = 0.00816$  and  $\hat{\sigma}_\varepsilon^2 = 0.00352$ , respectively.

The estimated spatial correlation range is  $\hat{\rho} = 2,929$  km in chordal distance. Under the Gaussian covariance specification, correlation within the spatial component falls to 0.5 at a great-circle distance of approximately 2,454 km and to 0.1 at approximately 4,541 km.

A parametric-bootstrap likelihood-ratio test with 500 replications rejects the null hypothesis  $H_0 : \sigma_s^2 = 0$ , with an LR statistic of 36.609 and a bootstrap  $p$ -value of 0.002. This provides evidence against the absence of a spatial persistent component.

Table 6: Spatial Decomposition of  $\omega$

| Parameter                                        | Estimate | Interpretation                      |
|--------------------------------------------------|----------|-------------------------------------|
| $\sigma_s^2$                                     | 0.01687  | Spatial persistent variance         |
| $\rho$                                           | 2,929 km | Spatial correlation range (chordal) |
| $\sigma_a^2$                                     | 0.00816  | Non-spatial persistent variance     |
| $\sigma_\varepsilon^2$                           | 0.00352  | Transitory variance                 |
| $\sigma_s^2 + \sigma_a^2 + \sigma_\varepsilon^2$ | 0.02855  | Total variance of $u_{it}$          |

## 6.4 Recovering the Spatial Component

After estimating the variance components, we recover the country-specific spatial and non-spatial persistent components using the Best Linear Unbiased Predictor (BLUP). This approach is closely related to the empirical Bayes and BLUP methods used in the labor economics literature to recover latent persistent heterogeneity from noisy observed outcomes, as in Kane and Staiger (2008) and Chetty et al. (2014). We apply the same basic idea here, using the estimated spatial covariance structure to separate the latent spatial component from non-spatial country-specific heterogeneity and transitory noise. We can express  $\bar{u}_i$  vector form,

$$\bar{u} = s + a + \bar{\varepsilon}.$$

Because averaging reduces the variance of the transitory component, the covariance matrix of  $\bar{u}$  is

$$V_{\bar{u}} = \Sigma_s + \sigma_a^2 I + D_{\varepsilon},$$

where

$$D_{\varepsilon} = \text{diag} \left( \frac{\sigma_{\varepsilon}^2}{T_1}, \dots, \frac{\sigma_{\varepsilon}^2}{T_N} \right).$$

The spatial component is recovered from its conditional expectation given the observed average residuals:

$$\hat{s} = E[s \mid \bar{u}] = \Sigma_s V_{\bar{u}}^{-1} \bar{u}.$$

Similarly, the non-spatial persistent component is recovered as

$$\hat{a} = E[a \mid \bar{u}] = \sigma_a^2 I V_{\bar{u}}^{-1} \bar{u}.$$

The predictor assigns variation in  $\bar{u}$  to the spatial component according to the estimated cross-country covariance structure. Variation that is persistent but not explained by spatial covariance is instead attributed to the non-spatial country component.

As a validation exercise, we construct a leave-one-country-out (LOO) estimate of the spatial component. For each country, we exclude all observations for that country and predict its spatial component using the outcomes of the remaining countries and the estimated spatial covariance structure. The LOO estimates are highly correlated with the full-sample BLUP estimates, with a correlation of 0.944. This close correspondence indicates suggests that the estimated spatial

component reflects systematic cross-country spatial dependence rather than simply absorbing country-specific persistent variation.

## 7 Quantitative Exercise

For the quantitative exercise, we compute the steady state of the model. To construct steady-state counterparts of the data, we average country-level variables over the 2003–2020 period. The model requires a complete  $N \times N$  matrix of bilateral portfolio holdings across investor and destination countries. Because not all countries report bilateral portfolio positions, the quantitative sample is restricted to 52 countries for which this matrix can be constructed. Destinations outside the quantitative sample are retained through an aggregate Rest-of-the-World outside option.<sup>5</sup>

### 7.1 Decomposition of Geographic Channels

We first quantify the contribution of the two geographic channels holding investor-country asset supplies fixed at their baseline levels. Under each counterfactual, portfolio shares are allowed to adjust, reallocating the fixed global stock of assets across destinations and thereby changing destination capital stocks and equilibrium interest rates. Holding asset supplies fixed isolates the effect of geographic forces through the reallocation of a given global stock of capital, abstracting from the endogenous adjustment in saving implied by the household Euler conditions. We measure population-weighted interest-rate dispersion relative to the United States as

$$D_{US}(r) = \sum_{i \neq US} w_i |r_i - r_{US}|,$$

where  $w_i$  denotes country  $i$ 's population weight among non-U.S. countries. We report the decomposition for the full sample and separately for advanced economies (AE) and emerging market economies (EME).<sup>6</sup> Table 7 reports the decomposition. For the full sample, baseline interest-rate dispersion relative to the United States is 1.44 percent, compared with 0.76 percent when both geographic

---

<sup>5</sup>Mauritius is included in the Rest-of-the-World outside option because of its small population.

<sup>6</sup>Advanced economies include Australia, Austria, Belgium, Canada, Switzerland, Germany, Denmark, Spain, Finland, France, the United Kingdom, Greece, Italy, Japan, the Netherlands, Norway, New Zealand, Portugal, and Sweden. Emerging market economies include Bangladesh, Bulgaria, Brazil, Chile, China, Colombia, Costa Rica, Cyprus, Czechia, Estonia, Hungary, Indonesia, India, Iceland, Israel, the Republic of Korea, Lithuania, Latvia, Mexico, Malta, Malaysia, Pakistan, Peru, the Philippines, Poland, Romania, the Russian Federation, Slovakia, Slovenia, Thailand, Türkiye, Venezuela, and South Africa.

Table 7: Interest Rate Dispersion from U.S.

| <b>Group</b> | $D_{00}$ (%) | $D_{11}$ (%) | $C_{\phi geo}$ (%p) | $C_s$ (%p) | $C_{\phi \times s}$ (%p) | $D_{11} - D_{00}$ (%p) |
|--------------|--------------|--------------|---------------------|------------|--------------------------|------------------------|
| All          | 0.7615       | 1.4432       | -0.0001             | 0.6273     | 0.0545                   | 0.6817                 |
| AE           | 1.1745       | 0.4935       | -0.6397             | -0.4256    | 0.3842                   | -0.6811                |
| EME          | 0.7042       | 1.5750       | 0.0887              | 0.7734     | 0.0087                   | 0.8708                 |

channels are removed. The resulting 0.68 percentage-point contribution is driven primarily by the spatial component of destination attractiveness, while the main contribution of bilateral geographic frictions is close to zero in the aggregate. The interaction between the two channels accounts for the remaining increase in dispersion. The aggregate result masks substantial heterogeneity across country groups. Among advanced economies, the presence of the two geographic channels reduces interest-rate dispersion relative to the United States. Both the bilateral-friction and spatial-attractiveness components contribute negatively to dispersion, although their positive interaction partially offsets these effects. In contrast, geographic forces increase interest-rate dispersion among emerging market economies. This increase is driven predominantly by the spatial component of destination attractiveness, with a smaller contribution from bilateral geographic frictions.

## 7.2 Steady State Counterfactuals

We next allow capital stocks to adjust endogenously and solve for the steady-state equilibrium under the same four scenarios. Unlike the decomposition above, this exercise allows capital allocation and equilibrium interest rates to adjust in response to changes in the geographic channels. Table 8 reports the counterfactual results. Removing bilateral distance frictions reduces the cross-country variance of log capital by 25.0 percent relative to the baseline and the variance of log GDP per capita by 10.8 percent. Removing the spatial component of destination attractiveness also reduces dispersion, lowering the variance of log capital by 28.6 percent and that of log GDP per capita by 9.9 percent. When both geographic channels are removed, the reductions are substantially larger: the variance of log capital falls by 63.8 percent and the variance of log GDP per capita by 24.9 percent. These results indicate that both bilateral portfolio frictions and spatially correlated destination attractiveness contribute to cross-country differences in capital allocation and output in general equilibrium.

Table 8: Counterfactual Dispersion across Scenarios

| Scenario             | Var(log $r$ ) |       | Var(log $k$ ) |              |       |              | Var(log GDP p.c.) |              |       |              |
|----------------------|---------------|-------|---------------|--------------|-------|--------------|-------------------|--------------|-------|--------------|
|                      | Simple Pop-w  |       | Simple        |              | Pop-w |              | Simple            |              | Pop-w |              |
|                      | Level         | Level | Level         | $\Delta$ (%) | Level | $\Delta$ (%) | Level             | $\Delta$ (%) | Level | $\Delta$ (%) |
| Baseline             | 0.497         | 0.335 | 4.385         | –            | 2.929 | –            | 4.632             | –            | 2.523 | –            |
| No distance friction | 0.749         | 0.399 | 3.290         | –25.0        | 2.609 | –10.9        | 4.134             | –10.8        | 2.370 | –6.1         |
| No spatial component | 0.534         | 0.290 | 3.131         | –28.6        | 1.662 | –43.3        | 4.173             | –9.9         | 2.078 | –17.6        |
| Neither channel      | 0.843         | 0.557 | 1.588         | –63.8        | 0.886 | –69.7        | 3.479             | –24.9        | 1.640 | –35.0        |

## 8 Conclusion

This paper studies how geography shapes international capital allocation and cross-country interest-rate differences. We first document a robust spatial gradient in interest rates. Geographically distant countries exhibit larger interest-rate differentials, and this relationship is robust in the persistent component of interest-rate gaps. These patterns suggest that geography remains relevant for international financial allocation even beyond short-run country-specific fluctuations.

To quantify the mechanisms behind this relationship, we develop a multi-country portfolio-allocation model with two distinct geographic channels. The first is a bilateral portfolio friction that depends on the relationship between an investor country and an investment destination. The second operates through destination-specific attractiveness, which may itself be spatially correlated across countries. We estimate bilateral portfolio frictions from international portfolio holdings. We then decompose destination attractiveness into spatially correlated persistent, non-spatial persistent, and transitory components. The estimated spatial component accounts for a substantial share of persistent cross-country heterogeneity in destination attractiveness.

Holding capital stocks fixed, the decomposition shows that the increase in aggregate interest-rate dispersion associated with geography is driven primarily by the spatial component of destination attractiveness. The aggregate contribution of bilateral geographic frictions is close to zero, but this masks substantial heterogeneity across country groups. Geographic forces reduce interest-rate dispersion relative to the United States among advanced economies, while they increase dispersion

among emerging market economies, with the latter effect driven predominantly by the spatial destination component. When capital stocks are allowed to adjust endogenously, both geographic channels have substantial effects on the cross-country allocation of capital and output. Removing either bilateral distance frictions or the spatial component of destination attractiveness reduces the dispersion of capital and output, and removing both channels produces substantially larger reductions.

Overall, the results show that geography shapes international capital allocation through both bilateral investor–destination frictions and spatial dependence across destination countries. Their quantitative importance differs across outcomes and country groups. Spatial destination characteristics account for most of the aggregate geographic pattern in interest-rate dispersion, while both channels play important roles in determining the distribution of capital and output in general equilibrium.

## References

- Alfaro, L., Kalemli-Özcan, S., and Volosovych, V. (2008). Why doesn't capital flow from rich to poor countries? an empirical investigation. *Review of Economics and Statistics*, 90(2):347–368.
- Allen, T. and Arkolakis, C. (2025). Quantitative regional economics. In *Handbook of Regional and Urban Economics*, volume 6, pages 1–72. Elsevier.
- Aviat, A. and Coeurdacier, N. (2007). The geography of trade in goods and asset holdings. *Journal of International Economics*, 71(1):22–51.
- Bailey, M. A., Strezhnev, A., and Voeten, E. (2017). Estimating dynamic state preferences from united nations voting data. *Journal of Conflict Resolution*, 61(2):430–456.
- Caselli, F. and Feyrer, J. (2007). The marginal product of capital. *Quarterly Journal of Economics*, 122(2):535–568.
- Chetty, R., Friedman, J. N., and Rockoff, J. E. (2014). Measuring the impacts of teachers i: Evaluating bias in teacher value-added estimates. *American Economic Review*, 104(9):2593–2632.
- Chinn, M. D. and Ito, H. (2006). What matters for financial development? capital controls, institutions, and interactions. *Journal of Development Economics*, 81(1):163–192.
- Coeurdacier, N. and Martin, P. (2009). The geography of asset trade and the euro: Insiders and outsiders. *Journal of the Japanese and International Economies*, 23(2):90–113.
- Coppola, A., Maggiori, M., Neiman, B., and Schreger, J. (2021). Redrawing the map of global capital flows: The role of cross-border financing and tax havens. *Quarterly Journal of Economics*, 136(3):1499–1556.
- Dell’Erba, S., Baldacci, E., and Poghosyan, T. (2013). Spatial spillovers in emerging market spreads. *Empirical Economics*, 45(2):735–756.
- Eckert, F. and Kleineberg, T. (2024). The geography of opportunity: Education, work, and intergenerational mobility across US counties. Working paper, revise and resubmit at the Journal of Political Economy.

- Falk, A., Becker, A., Dohmen, T., Enke, B., Huffman, D., and Sunde, U. (2018). Global evidence on economic preferences. *Quarterly Journal of Economics*, 133(4):1645–1692.
- Gabaix, X. and Maggiori, M. (2015). International liquidity and exchange rate dynamics. *Quarterly Journal of Economics*, 130(3):1369–1420.
- Gopinath, G., Gourinchas, P.-O., Presbitero, A. F., and Topalova, P. (2025). Changing global linkages: A new cold war? *Journal of International Economics*, 153:104042.
- Gourinchas, P.-O. and Jeanne, O. (2006). The elusive gains from international financial integration. *Review of Economic Studies*, 73(3):715–741.
- Gourinchas, P.-O. and Rey, H. (2007). International financial adjustment. *Journal of Political Economy*, 115(4):665–703.
- Itskhoki, O. and Mukhin, D. (2021). Exchange rate disconnect in general equilibrium. *Journal of Political Economy*, 129(8):2183–2232.
- Itskhoki, O. and Mukhin, D. (2025). Mussa puzzle redux. *Econometrica*, 93(1):1–39.
- Kane, T. J. and Staiger, D. O. (2008). Estimating teacher impacts on student achievement: An experimental evaluation. Working Paper 14607, National Bureau of Economic Research.
- Kaufmann, D., Kraay, A., and Mastruzzi, M. (2011). The worldwide governance indicators: Methodology and analytical issues. *Hague Journal on the Rule of Law*, 3(2):220–246.
- Kleinman, B., Liu, E., Redding, S. J., and Yogo, M. (2026). Neoclassical growth in an interdependent world. Working Paper 31951, National Bureau of Economic Research. Revised August 2026; first circulated in 2023.
- Koijen, R. S. J. and Yogo, M. (2019). A demand system approach to asset pricing. *Journal of Political Economy*, 127(4):1475–1515.
- Koijen, R. S. J. and Yogo, M. (2026). Exchange rates and asset prices in a global demand system. *Journal of Political Economy*, 134(8):2441–2487.
- Krisztin, T. and Piribauer, P. (2021). Modelling european regional FDI flows using a bayesian spatial poisson interaction model. *Annals of Regional Science*, 67(3):593–616.

- Lane, P. R. and Milesi-Ferretti, G. M. (2008). International investment patterns. *Review of Economics and Statistics*, 90(3):538–549.
- LeSage, J. P. and Llano, C. (2013). A spatial interaction model with spatially structured origin and destination effects. *Journal of Geographical Systems*, 15(3):265–289.
- Lucas, Robert E., J. (1990). Why doesn’t capital flow from rich to poor countries? *American Economic Review*, 80(2):92–96.
- Lustig, H. and Richmond, R. J. (2020). Gravity in the exchange rate factor structure. *Review of Financial Studies*, 33(8):3492–3540.
- Maggiore, M. (2017). Financial intermediation, international risk sharing, and reserve currencies. *American Economic Review*, 107(10):3038–3071.
- Mayer, T. and Zignago, S. (2011). Notes on CEPII’s distances measures: The GeoDist database. Working Paper 2011-25, CEPII.
- Müller, K., Xu, C., Lehib, M., and Chen, Z. (2025). The global macro database: A new international macroeconomic dataset. Working Paper 33714, National Bureau of Economic Research.
- Obstfeld, M. and Rogoff, K. (1995). The intertemporal approach to the current account. In Grossman, G. M. and Rogoff, K., editors, *Handbook of International Economics*, volume 3, pages 1731–1799. North-Holland, Amsterdam.
- Okawa, Y. and van Wincoop, E. (2012). Gravity in international finance. *Journal of International Economics*, 87(2):205–215.
- Pavlova, A. and Rigobon, R. (2007). Asset prices and exchange rates. *Review of Financial Studies*, 20(4):1139–1180.
- Pellegrino, B., Spolaore, E., and Wacziarg, R. (2025). Barriers to global capital allocation. *Quarterly Journal of Economics*, 140(4):3067–3131.
- Portes, R. and Rey, H. (2005). The determinants of cross-border equity flows. *Journal of International Economics*, 65(2):269–296.

- Portes, R., Rey, H., and Oh, Y. (2001). Information and capital flows: The determinants of transactions in financial assets. *European Economic Review*, 45(4-6):783–796.
- Servén, L. and Abate, G. D. (2020). Adding space to the international business cycle. *Journal of Macroeconomics*, 65:103211.
- Shambaugh, J. C. and Zhou, H. (2024). Interest rates across the world: Global, regional, and idiosyncratic factors. *Journal of Banking & Finance*, 163:107192.

# Appendix

## A Model Solution Algorithm

### A.1 Solution Algorithm

We solve the stationary general equilibrium using a nested numerical procedure. All parameters, including the calibrated discount factors  $\{\beta_n\}$ , are held fixed throughout the solution. We use the normalized bilateral portfolio wedge

$$\phi_{ni} \equiv \frac{\Phi_{ni}}{\sigma_N},$$

as defined in Section 5.1.

For a given vector of asset supplies  $\{A_n\}$ , the inner loop solves for capital allocation, portfolio shares, and interest rates. Given a current guess for capital  $\{k_i\}$ , interest rates are

$$r_i = \alpha Z_i \left( \frac{k_i}{L_i} \right)^{\alpha-1} \quad (10)$$

Portfolio shares are then determined by

$$b_{ni} = \frac{\exp(-\phi_{ni} + \omega_i/\sigma_N + r_i/\sigma_N)}{\sum_j \exp(-\phi_{nj} + \omega_j/\sigma_N + r_j/\sigma_N)}, \quad (11)$$

with the modification for destinations outside the model sample described in Appendix A.2. The implied capital stock is

$$k'_i = \sum_n b_{ni} A_n. \quad (12)$$

We iterate over  $\{k_i\}$  until the implied capital allocation converges.

Given the resulting portfolio allocation and interest rates, the outer loop adjusts asset supplies until the steady-state Euler condition

$$\beta_n R_n = 1 \quad (13)$$

is satisfied for every investor country, where

$$R_n = 1 + \sum_i b_{ni} r_i. \quad (14)$$

---

**Algorithm 1** Solution of the Stationary General Equilibrium

---

1: Initialize asset supplies  $\{A_n\}$ .

2: **repeat**

3:     Initialize destination capital stocks  $\{k_i\}$ .

4:     **repeat**

5:         Compute interest rates:

$$r_i = \alpha Z_i \left( \frac{k_i}{L_i} \right)^{\alpha-1}$$

6:         Compute bilateral portfolio shares  $\{b_{ni}\}$ .

7:         Update destination capital:

$$k'_i = \sum_n b_{ni} A_n.$$

8:     **until**  $\{k_i\}$  converges

9:     Compute investor portfolio returns:

$$R_n = 1 + \sum_i b_{ni} r_i.$$

10:     Update  $\{A_n\}$  to satisfy

$$\beta_n R_n = 1 \quad \forall n.$$

11: **until** the Euler conditions converge

12: **return**  $\{A_n, b_{ni}, k_i, r_i\}$ .

---

## A.2 Treatment of the Rest of the World

The set of destinations observed in the bilateral portfolio data is larger than the set of countries explicitly included in the general-equilibrium model. Dropping these destinations would mechanically reallocate their portfolio shares toward countries in the model sample. We therefore aggregate all destinations outside the model sample into a single outside option.

Let  $\mathcal{N}$  denote the set of model countries and  $\mathcal{R}$  the set of observed destinations outside  $\mathcal{N}$ . For

investor  $n$ , we construct the inclusive value

$$IV_{nR} = \log \sum_{j \in \mathcal{R}} \exp(-\phi_{nj} + v_j), \quad (15)$$

where  $v_j$  is the estimated destination attractiveness component. The portfolio problem then treats  $IV_{nR}$  as an additional investment alternative:

$$b_{ni} = \frac{\exp(V_{ni})}{\sum_{j \in \mathcal{N}} \exp(V_{nj}) + \exp(IV_{nR})}, \quad V_{ni} = -\phi_{ni} + \frac{\omega_i + r_i}{\sigma_N}. \quad (16)$$

Assets allocated to the outside option do not enter the capital stock of countries in  $\mathcal{N}$ . Hence, capital-market clearing within the model is

$$k_i = \sum_{n \in \mathcal{N}} b_{ni} A_n, \quad i \in \mathcal{N}. \quad (17)$$

Because the model does not solve for an endogenous return outside the model sample, portfolio returns entering the Euler equation are computed using returns on model destinations only.

## B Additional Figures

### B.1 Model Fit

Figure 2 compares the model-implied interest rates with their empirical counterparts. The model reproduces the overall cross-country variation in interest rates.

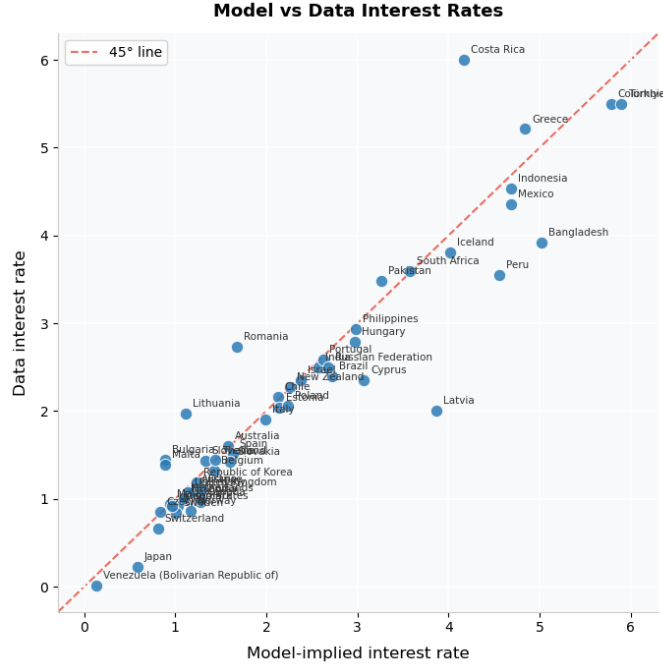
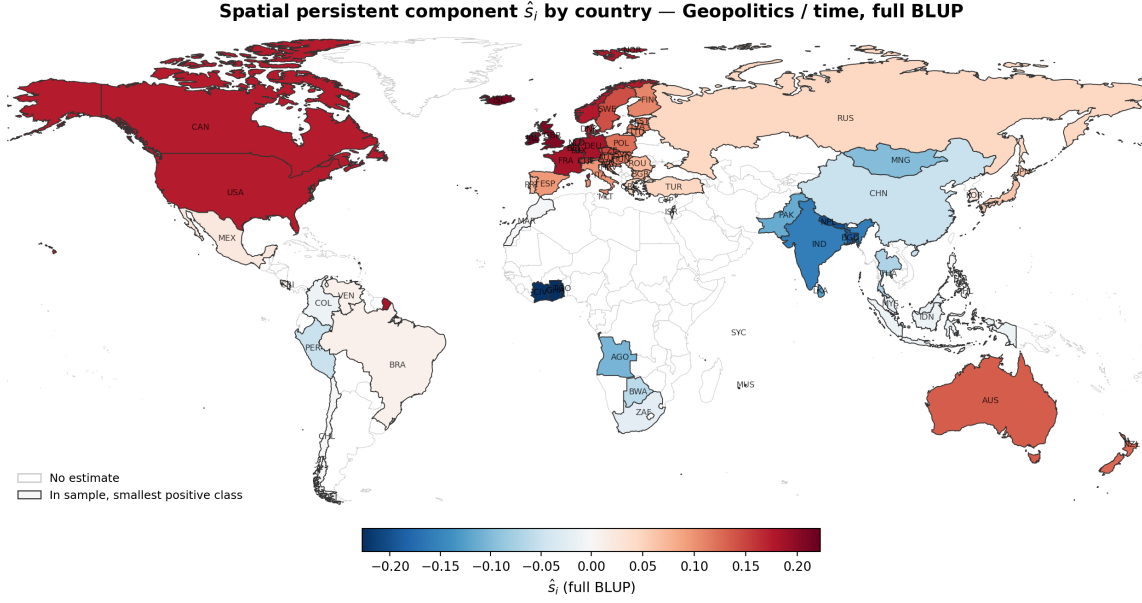


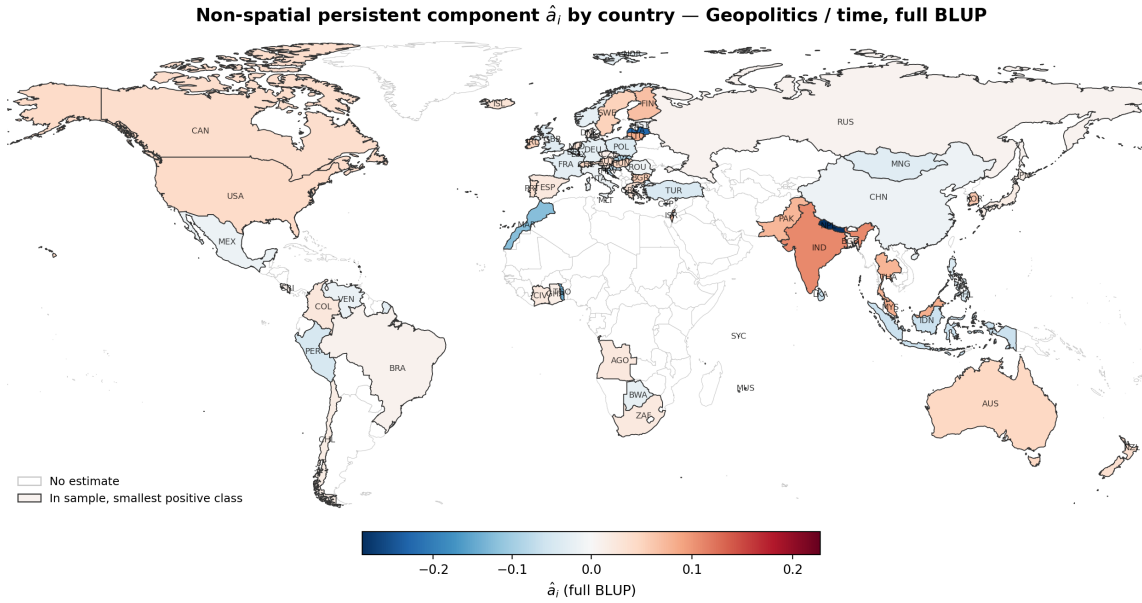
Figure 2: Model-Implied and Observed Interest Rates

## B.2 Spatial Decomposition of Destination Attractiveness

Figure 3 presents the estimated persistent components of destination attractiveness. Panel (a) shows the spatial component,  $\hat{s}_i$ , while Panel (b) shows the non-spatial country-specific component,  $\hat{a}_i$ . Both components are recovered using the full-sample BLUP estimates described in Section 6.4.



(a) Spatial persistent component,  $\hat{s}_i$



(b) Non-spatial persistent component,  $\hat{a}_i$

Figure 3: Decomposition of Destination Attractiveness

## C Robustness Checks

We examine whether the estimated effects of geographic distance and geopolitical alignment on portfolio allocation are robust to alternative specifications. Recall that the bilateral wedge  $\phi_{ni}$

enters portfolio demand with a negative sign. Thus, a negative coefficient in the portfolio allocation equation corresponds to a larger portfolio wedge.

First, we augment the baseline specification with additional bilateral covariates, including exchange-rate volatility, common language, and trade intensity. Table 9 reports the baseline estimate in the full sample, the baseline estimate in the common sample, and specifications that sequentially add these controls. The coefficients on log geographic distance and the cross-block indicator remain negative and statistically significant across specifications.

Table 9: Robustness of Bilateral Portfolio Friction Estimates

|                     | (1)                  | (2)                  | (3)                  | (4)                  | (5)                  | (6)                  |
|---------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
| $\ln(dist\_i, j)$   | -0.797***<br>(0.054) | -0.790***<br>(0.055) | -0.716***<br>(0.052) | -0.726***<br>(0.058) | -0.706***<br>(0.063) | -0.650***<br>(0.062) |
| Foreign             | -4.159***<br>(0.130) | -4.171***<br>(0.131) | -3.730***<br>(0.117) | -4.424***<br>(0.144) | -4.478***<br>(0.156) | -3.991***<br>(0.148) |
| Cross Block         | -0.796***<br>(0.155) | -0.803***<br>(0.157) | -0.705***<br>(0.172) | -0.773***<br>(0.156) | -0.819***<br>(0.157) | -0.722***<br>(0.171) |
| FX volatility (%)   |                      |                      | -0.288***<br>(0.030) |                      |                      | -0.279***<br>(0.030) |
| Common language     |                      |                      |                      | 0.661***<br>(0.169)  |                      |                      |
| Trade intensity (%) |                      |                      |                      |                      | 0.141***<br>(0.039)  | 0.108***<br>(0.036)  |
| Sample              | Full                 | Common               | Common               | Common               | Common               | Common               |
| Observations        | 100377               | 95086                | 95086                | 95086                | 95086.000            | 95086.000            |

Standard errors in parentheses

Origin×year and destination×year fixed effects. Standard errors clustered by country pair.

FX volatility: s.d. of monthly bilateral exchange-rate returns within the year (%).

Trade intensity:  $(X_{ij} + X_{ji}) / (GDP_i + GDP_j)$  (%), IMF IMTS and World Bank.

\*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$

We also allow home bias to vary across investor countries. Specifically, we parameterize the bilateral wedge as

$$\phi_{ni} = \beta^{dist} \ln(dist_{ni}) + \beta_n^{foreign} \mathbf{1}[n \neq i] + \beta^{cross-block} CrossBlock_{ni}.$$

Allowing for investor-specific home bias leaves the main results unchanged. The coefficients on log geographic distance and the cross-block indicator in the portfolio allocation equation remain negative and statistically significant.

Table 10: Robustness to Investor-Specific Home Bias

|                                               | (1)<br>share         |
|-----------------------------------------------|----------------------|
| Log distance                                  | -0.921***<br>(0.045) |
| Cross block                                   | -0.579***<br>(0.216) |
| Observations                                  | 100377.000           |
| Standard errors in parentheses                |                      |
| * $p < 0.10$ , ** $p < 0.05$ , *** $p < 0.01$ |                      |

## D $\omega$ Regression

Table 11 examines how the recovered destination attractiveness,  $\omega_{i,t}$ , is related to observable country characteristics. By construction,  $\omega_{i,t}$  captures components of destination attractiveness other than interest rates.

Across specifications, real GDP is positively associated with  $\omega_{i,t}$ , suggesting that larger markets attract greater portfolio allocation conditional on interest rates. In contrast, CDS spreads are negatively associated with  $\omega_{i,t}$ , indicating that investors allocate smaller portfolio shares to countries with greater sovereign credit risk, holding interest rates fixed. These relationships remain present when country fixed effects are included, so they are not driven solely by persistent cross-country differences.

Political stability is positively associated with destination attractiveness in some specifications, although the estimates are less precise.

Table 11: Destination Attractiveness and Country Characteristics

|                          | (1)                  | (2)                 | (3)                  | (4)                  |
|--------------------------|----------------------|---------------------|----------------------|----------------------|
| ln(real GDP)             | 0.060***<br>(0.019)  | 0.065***<br>(0.021) | 0.088***<br>(0.030)  | 0.077**<br>(0.032)   |
| ln(CDS spread)           | -0.029***<br>(0.008) | -0.023**<br>(0.011) | -0.016***<br>(0.003) | -0.018***<br>(0.003) |
| Capital account openness |                      |                     |                      | 0.010<br>(0.006)     |
| Political stability      |                      | 0.030<br>(0.051)    | 0.032*<br>(0.016)    | 0.026<br>(0.017)     |
| Country FE               | No                   | No                  | Yes                  | Yes                  |
| Year FE                  | Yes                  | Yes                 | Yes                  | Yes                  |
| Observations             | 230                  | 230                 | 230                  | 230                  |
| Countries                | 21                   | 21                  | 21                   | 21                   |
| Within $R^2$             | 0.698                | 0.702               | 0.320                | 0.339                |

Standard errors clustered by country in parentheses.

\*  $p < 0.10$ , \*\*  $p < 0.05$ , \*\*\*  $p < 0.01$ .

## E Spatial Response to Aggregate Shocks

The spatial structure of destination attractiveness may extend beyond its persistent level component. Countries may also respond differently to common global shocks, and these heterogeneous responses may themselves exhibit a geographic pattern. For example, an aggregate financial shock may affect countries in the same region in similar ways because of common economic, financial, or institutional characteristics.

To examine this possibility, we augment the specification for destination attractiveness with an interactive factor structure:

$$\omega_{it} = X'_{it}\beta + \alpha_i + \alpha_t + \underbrace{\lambda_i}_{\text{Country-specific loading}} \underbrace{F_t}_{\text{Common factor}} + \varepsilon_{it}.$$

Here,  $F_t$  captures common time variation in destination attractiveness, while  $\lambda_i$  measures country  $i$ 's exposure to this common factor. Countries with similar factor loadings therefore respond similarly to movements in the aggregate factor.

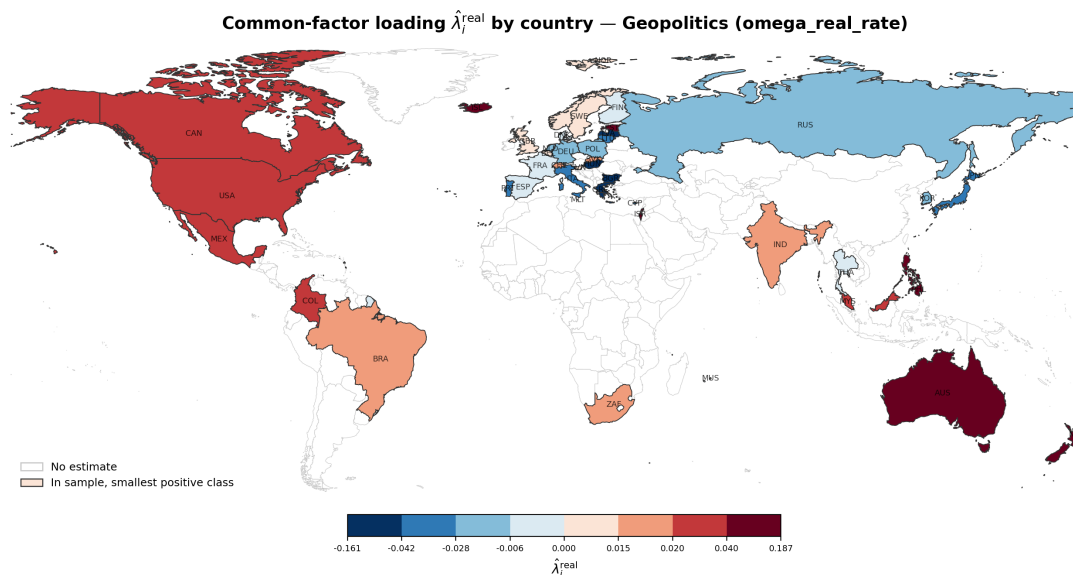
We examine whether these heterogeneous exposures are spatially related by estimating

$$|\lambda_i - \lambda_j| = \beta^\lambda \ln(\text{dist}_{ij}) + Z'_{ij}\Gamma + \alpha_i + \alpha_j + \varepsilon_{ij}.$$

A positive  $\beta^\lambda$  indicates that geographically distant countries tend to have more dissimilar factor loadings, whereas nearby countries respond more similarly to movements in the common factor.

Table 12: Geographic Structure of Aggregate-Shock Exposure

Heteroskedasticity-robust standard errors in parentheses.



## F Latent Attractiveness with Geographic and Geopolitical Dependence

Table 5b provides evidence that countries' estimated latent attractiveness is associated with both geographic and geopolitical proximity, with the latter measured by distance in UN General Assembly voting ideal points. To capture these two sources of dependence, we specify an additive Gaussian covariance kernel:

$$\text{Cov}(s_i, s_j) = \sigma_G^2 \exp \left[ - \left( \frac{\tilde{d}_{G,ij}}{\rho_G} \right)^2 \right] + \sigma_P^2 \exp \left[ - \left( \frac{\tilde{d}_{P,ij}}{\rho_P} \right)^2 \right]. \quad (18)$$

Here, the subscripts  $G$  and  $P$  denote the geographic and geopolitical components, respectively. Geographic distance is measured by chordal distance, while geopolitical distance is the absolute difference between countries' sample-period average ideal points. Each distance is divided by its standard deviation across distinct unordered country pairs, without subtracting its mean. The parameters  $\sigma_G^2$  and  $\sigma_P^2$  govern the component variances, while  $\rho_G$  and  $\rho_P$  govern their correlation ranges.

This specification corresponds to the decomposition  $s_i = s_i^G + s_i^P$ , with  $\text{Cov}(s_i^G, s_j^P) = 0$  for all  $i, j$ . This restriction concerns the latent components and does not require geographic and geopolitical distances to be uncorrelated. We also retain the independent country-specific component  $a_i$ , with variance  $\sigma_a^2$ .

Using the geopolitical specification of  $\omega_{it}$ , with 1,028 country-year observations from 67 countries and controlling for log population and year fixed effects, we estimate  $\hat{\sigma}_G^2 = 0.00552$ ,  $\hat{\sigma}_P^2 = 0.01501$ , and  $\hat{\sigma}_a^2 = 0.00791$ . These components account for approximately 19.4%, 52.8%, and 27.8% of the model-implied persistent variance, respectively. The estimated decomposition therefore attributes a substantial share of persistent heterogeneity to geopolitical dependence, while retaining geographic dependence and an independent country-specific component.

Converted to the original distance units, the estimated geographic and geopolitical ranges are 1,677 km and 1.366 ideal-point units, respectively. At these distances, the correlation within the corresponding component falls to  $e^{-1}$ , approximately 0.37. The geographic range is shorter than the 2,929 km estimated under the geography-only covariance specification, indicating a reallocation of covariance when geopolitical dependence is modeled separately.

A parametric bootstrap test with 499 replications rejects the null hypothesis  $H_0 : \sigma_P^2 = 0$  at the 5% level ( $p = 0.012$ ). This result provides evidence of geopolitical dependence beyond that captured by the geographic covariance component.